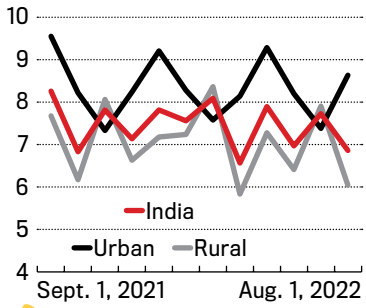
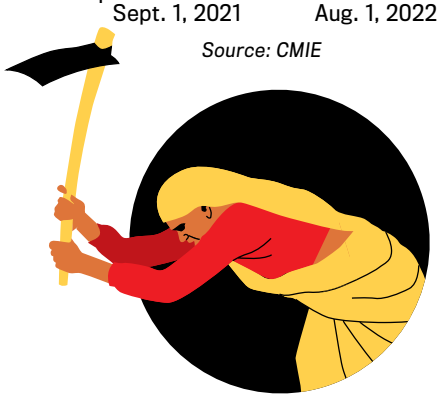
JOB WOES

With the industrial, services and manufacturing sectors yet to recover, urban unemployment is rising. Recovery in rural India is driven by agriculture

UNEMPLOYMENT RATE (%)



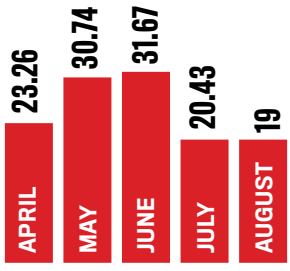
Source: CMIE



MGNREGA TO THE RESCUE

There has been a steady increase in the number of people in rural areas seeking jobs under the scheme, the decline in July largely attributed to the monsoon

HOUSEHOLDS DEMANDING WORK UNDER MGNREGA
(2022-23 provisional; in millions)



Source: Ministry of rural development

Graphics by TANMOY CHAKRABORTY



"Inflation is the biggest stress point. It adversely affects the lower strata of people. The rich don't get as affected"

SUBHASH CHANDRA GARG
Former finance secretary



"The high-end TV segment is growing. People are buying more than one TV, but demand for smaller TVs is sluggish"

DEVITA SARAF
Chairman & CEO, Vu Televisions

buoyant consumption. Bookings at airports and hotels are full, thanks to a revival of the travel and hospitality sector. The festive season that kicked off with Ganesh Chaturthi in September promises to drive consumption further as millions spend on homes, cars, consumer durables or food and recreation.

While these may be sufficient cause for cheer, there is also the other side of the picture. And it's not pretty.

MISERY OF THE MSMEs

After two years of the pandemic and the attendant shutdowns, MSMEs are still grappling with low demand and access to funding. D.S. Rawat, chairman of the MSME Export Promotion Council that boasts 50,000-plus members, says that the incentives announced by the government have not yielded the desired results. "Many of the MSMEs are not even aware of the various schemes launched," he says. He is referring to the Emergency Credit Line Guarantee Scheme (ECLGS) the government announced to provide collateral-free automatic loans for businesses, a self-reliant fund for equity funding in MSMEs that have the potential and viability to grow and become larger units. The scheme has been extended till March 2023. A recent CMIE (Centre for Monitoring Indian Economy) study noted that ECLGS was effective in arresting major financial stress in the operations of the sector. MSME secretary B.B. Swain, too, had recently noted that Rs 1,600 crore had been invested in 88 MSMEs so far. But it is a drop in the ocean, given that India had 7.9 million registered MSMEs as of March 2022.

Barring a select few, a majority of small business owners are struggling for survival. Prashant Patel, who runs a family-owned business in Gujarat, has relied mostly on exports to keep things running. "Demand is lower than last year," he says ruefully. "While prices of raw materials have come down, margin pressures are the same. Last month, orders were the lowest in the history of the company." Patel could manage to keep his plants afloat by taking a loan of Rs 10 crore under ECLGS. His plants are currently running at 25 per cent capacity.

AN UNEVEN ROAD

Auto sales reflect a mixed picture too. In August, according to data from SIAM (Society of Indian Automobile Manufacturers), passenger vehicles—including cars, vans and utility vehicles—saw sales of 281,210 units, a rise of 21 per cent over the previous year. Two-wheelers, however, saw a growth of just 16.63 per cent, despite the low base, selling 1.56 million units. A Crisil analysis confirmed the trend, showing that cars priced above